Panchmahal Steel Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

Makes stainless steel long products (wire rods, bars and wires) at a single site in Gujarat that does everything from melting the steel to rolling and cold finishing. It sells to engineering, auto, railways, oil and gas, energy, construction and food-processing users.

- Market cap about Rs 549 cr: what the market values the whole company at.
- FY26 sales Rs 384 cr, flat on FY25: no growth for the year.
- FY26 net loss about Rs 2 cr: the annual report blames mainly a tax credit reversal of Rs 2.79 cr.
- Operating margin was about 3% in FY26, then 8-9% in the Jun and Sep 2026 quarters: a sharp pick-up.
- Sep 2026 quarter: sales Rs 107 cr, up 15% on a year ago; net profit Rs 5.04 cr vs Rs 0.55 cr.
- Short-term debt about Rs 40 cr; inventory is large (about Rs 132 cr), so cash from operations in the half-year was close to nil.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive: the FY26 annual report's Management Discussion (via indiainfoline), the Sep 2026 quarter results (via multibagg/sahi), news on a BHEL order, and Screener financials.

Quarter / source	Date	Read?
FY26 annual report, Management Discussion	Aug 2026	Yes
Jun 2026 quarter results news	Aug 2026	Yes
BHEL order news (L1 bidder, then purchase order)	Sep-Oct 2026	Yes
Sep 2026 quarter results (board approval 31 Oct 2026)	Oct 2026	Yes
Screener financials to Sep 2026	Nov 2026	Yes

About a year of public filings. With no calls and no guidance, the consistency read is limited.

Latest update highlights (results and news)

- Sep 2026 quarter profit Rs 5.04 cr vs Rs 0.55 cr a year ago on 15% higher sales; first-half profit about Rs 9.4 cr vs a loss a year ago.
- Material costs fell while power and fuel costs rose; the company gave no explanation for the margin jump.
- Declared lowest bidder (L1) by BHEL for stainless steel wire for its Boiler Auxiliaries Plant at Ranipet (Sep 2026), followed by a purchase order. Reports differ on the value (Rs 25.25 cr on Screener, Rs 38.7 cr in another report).
- Cash from operations in the half-year was close to nil because inventory and receivables went up.

Business mix & capacity

- Domestic vs export: not broken out. The annual report only says it has customers worldwide.
- Capacity: installed capacity and utilisation are not disclosed.

3. Earning trigger thesis

There's no clear earnings driver. The annual report talks in general terms about high-value niche products, value-added products, cost discipline and a wider customer base, and is cautious on the near term because of tariffs and geopolitics. The recent margin jump is real in the numbers but unexplained, and the BHEL order is small next to yearly sales.

Trigger	What management said	Evidence so far	Time horizon	Strength
Value-added / niche products	FY26 annual report: focus on high-value niche products and add value-added products	No product-level detail disclosed	Unclear	Weak: generic
BHEL wire order	Exchange filing: L1 bidder, then purchase order	Order won; value reports conflict	Next few quarters	Weak: small
Margin recovery	Not explained by the company	Operating margin about 3% in FY26 to 8-9% in the last two quarters	Unclear	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Debt-equity improved to 0.23 in FY26, but no debt-reduction plan stated
New business	No	Only generic value-added product talk
Margin up	No	Margin rose in the numbers, but no reason was given
New management	No	None found
New capacity	No	Not stated
Big orders	No	One BHEL stainless wire order, small against sales
Turnaround	No	Profit after a loss year shows in the numbers, but the company says nothing about it
Promoter buying	No	Promoter stake steady at about 73.8%

Single concrete driver: No concrete driver; the only named item is a stainless wire order from BHEL's Ranipet plant.

3c. Margin bridge

Operating margin was about 3% in FY26 and has been 8-9% in the Jun and Sep 2026 quarters. Material cost fell while power and fuel went up; the company doesn't say why the margin rose, and steel margins swing with raw material prices (one-off until shown otherwise).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25 annual report	Focus on niche and value-added products, wider customer base	FY26 sales flat, net loss, ROCE fell to under 3%	Missed
FY26 annual report (Aug 2026)	Same plan; cautious near-term outlook	Two better quarters since, but no explanation from the company	Too early

The annual report story barely changes year to year and gives no targets. That's not drift, but there's nothing concrete to hold management to, and no investor calls.

5. Bottom line

Durable earning trigger? → NO

No named driver beyond general plans. The margin jump may just be raw material prices, and the BHEL order is small.

Management consistent? → MAYBE

There's no guidance to test. The plans repeat each year, and FY26 went backwards before the last two quarters improved.

6. Checkpoints for next quarter

- December quarter margin stays near the Sep quarter level
- December quarter profit is higher than a year ago
- BHEL wire order shows up in sales

Sources

- Screener.in PANCHMAHQ financials
- Panchmahal Steel Annual Report 2025-26, Management Discussion (indiainfoline.com)
- multibagg.ai: Sep 2026 quarter results, 31 Oct 2026
- sahi.com / askfuzz.ai: quarterly results news
- Screener.in announcements: BHEL Ranipet purchase order

This is not investment advice. Do your own due diligence.